Beijing will retaliate if US tightens tech controls

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Beijing is pushing back as pressures rise on President Donald Trump's administration to tighten restrictions on Chinese models and China's access to c||||||||||||||

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Notice

China Weekly will move to a biweekly schedule in August, publishing on 6 and 20 August, and will resume normal publication in September.

US-China

Beijing will retaliate if Washington tightens tech controls. As discussions in Washington about increasing restrictions on Chinese models and China's access to US chips grow louder, Beijing is making clear it is ready to take countermeasures.

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China is likely to retaliate against a new US Federal Communications Commission (FCC) ban. On 28 July, the FCC added foreign-produced advanced robotic devices and power inverters to its Covered List, effectively barring new models from being sold in the US. The foreign ministry has conveyed that Beijing will take "necessary measures" in response. Retaliation could mirror Beijing's response to the June 1260H list updates, when it added several US defense and critical-minerals firms to its own export control list.

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Accusations that Chinese firms are achieving technological breakthroughs by circumventing US export controls could accelerate political momentum in Washington to close loopholes. A senior US official accused Chinese AI company Moonshot AI of accessing banned Nvidia chips by training its latest Kimi 3 model via data centers in Thailand. This is likely to draw more attention to the Remote Access Security Act, which passed the House in January but is still awaiting Senate action. There is also growing discussion about whether the US should ban Chinese open-weight AI models.

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Beijing is pushing back in response and is likely readying countermeasures. State media have countered allegations around model distillation and pointed to arguments from US industry that Chinese open-weight models will support competitiveness. However, Beijing will likely calibrate its escalation to preserve the trade truce and allow for President Xi Jinping's September US visit to move forward.

Foreign Policy

China is ready to escalate in response to EU trade measures. On 24 July, the Ministry of Commerce (MOFCOM) added 14 European entities to its export control list in retaliation for the EU's inclusion of 14 Chinese companies in its latest Russian sanctions package the day before. The export controls represent a calculated expansion of Beijing's retaliation against EU sanctions—targeting non-defense firms in Europe for the first time—and are likely intended to send a warning shot to Brussels that China is prepared to cut off wider European access to rare earth elements if trade tensions continue to rise (see: Beijing's rare-earth warning shot expands use of export control leverage , 24 July 2026).

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A commitment from Brussels and Beijing to resolve economic tensions by October will probably delay, rather than avert, an escalation of tensions driven by China's industrial policy and export model and growing conviction across European capitals that stronger measures are needed to protect European industries (see: Trade confrontation will escalate despite managed pause , 2 July 2026).

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Beijing will continue to deflect EU criticism of Chinese overcapacity and accusations of unfair industrial subsidies and an artificially weak yuan. MOFCOM published a lengthy white paper on 28 July denying that outsized trade surpluses have been caused by overcapacity or a lack of demand in China; instead, Beijing will continue to blame weakening "industrial competitiveness" in Europe as the main culprit.

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Beijing will likely shrug off European efforts to map supply chain vulnerabilities in China. Germany and other European countries are reportedly seeking to build leverage over supply chain chokepoints for future trade negotiations with Beijing; China, however, will remain confident that it retains the tools and the resilience to prevail against potential European threats.

Taiwan

Taipei cracks down on chip smuggling to China in bid to keep US close. The de facto US embassy in Taiwan and Taiwan's Coast Guard Administration (CGA) each highlighted coordination between the US and Taiwan coast guards in public statements on 28 July. The CGA also said that the two sides worked together to prevent advanced chips from becoming "tools for military authoritarian expansion."

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The public statements were a coordinated effort to show that the two governments are pushing back against Chinese coast guard patrols. Beijing has stepped up its coast guard presence in the waters east of Taiwan and likely seeks to routinize patrols (see: Beijing leveraging US truce to expand maritime control around Taiwan , 20 July 2026). The CGA statement said the cooperation demonstrates that the US understands that Taiwan's coast guard is "the sole law enforcement agency in the Taiwan Strait."

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Taipei has intensified efforts to prevent chip diversion to China, in the hopes of showing the US that it is a reliable partner. Between June and July, Taiwanese authorities have raided the local offices of Super Micro and detained two Super Micro staff and one Nvidia employee for their alleged involvement in smuggling Nvidia chips to China.

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However, Washington is still likely to delay arms sales until after the Xi-Trump summit in September. Trump is focused on maintaining the trade truce with China, and officials on both sides continue to publicly share expectations of a positive visit.

Economic Policy

Beijing's offshore trust tax will squeeze Hong Kong's wealth booking business. On 24 July, the Ministry of Finance and the State Taxation Administration jointly issued an announcement clarifying how existing individual income tax law applies to offshore trusts. Gains on assets transferred in are taxed at 20%; trust income is taxed annually to the settlor whether or not distributed; a further charge falls on termination. Unpaid tax for 2023–2025 must be declared by 22 October without late-payment interest, and authorities can reach back further where amounts are large.

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The changes are part of Beijing’s push for increased fiscal revenues, although revenues from these changes will likely be small. Personal income tax is under 10% of tax revenue, and offshore trusts are a fraction of that. Individual income tax receipts rose 13.1% in the first half even as deed tax fell 14.7% and land appreciation tax fell 15.3%, extending a two-year push on overseas income.

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Hong Kong, the largest booking center for mainland private wealth, is most exposed. Founders hold listed stakes through these structures, so raising cash before the October deadline creates selling pressure in Hong Kong-listed names. Liquidation triggers tax as well, so most families will restructure.

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The rules make clear that individuals whose main economic interests stay in China may still be treated as Chinese tax residents even if they acquire foreign nationality or permanent residency.

Politics

Beijing will continue to tighten political oversight of financial sector. On 24 July, Beijing announced that former China Securities Regulatory Commission (CSRC) Vice Chairman Fang Xinghai was “under investigation for serious disciplinary and legal violations.” The case is part of a wider pattern of increased political probes into China’s financial sector.

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Fang’s fall stands out because he was one of China’s most internationally-engaged financial officials. His overseas training, command of international regulatory language, and long engagement with foreign investors made him a credible voice that explained the Chinese markets and system to outsiders. His investigation sends a broader message: technocratic credibility and market-facing experience are insufficient to shield officials from political exposure.

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The accumulation of cases suggests continued centralization of financial policymaking. In the past 12 months, authorities have removed eight senior figures from the CSRC system. By one count, over 400 financial-sector officials and executives have faced disciplinary action since 2021.

Standing Calls in 2026

Notes underpinning calls:

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April summit will yield new purchase commitments and maintain truce, 5 February 2026

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Latest dismissals deepen military turmoil and lower Taiwan risk, 26 January 2026

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Trade confrontation will escalate despite managed pause , 2 July 2026

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Beijing will maintain calibrated pressure campaign against Tokyo, 20 July 2026

Upcoming Events

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Early August: CCP leadership will hold annual summer retreat at Beidaihe

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12-13 September: BRICS Summit

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24 September: Xi will likely visit the US

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22-29 September: UN General Assembly high-level meetings

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27 September: Six-month deadline for China's trade investigations

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October: 5th Plenum of the 20th CCP Central Committee

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1-7 October: China's National Day/Golden Week

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10 October: Taiwan's National Day

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21-23 October: Bund Summit in Shanghai (estimated dates)

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10 November: End of one-year suspension of US–China tariffs, Bureau of Industry and Security 50% ruling, Chinese export controls, port fees

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18–19 November: APEC summit in Shenzhen

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28 November: Taiwan local elections

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14–15 December: G20 leaders' summit in Miami

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